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Anatomy of our policy failure

Looking back

India obtained freedom in 1947 with great expectations of rapidly rising to the ranks of a prosperous liberal democracy. This did not work out. A few rare countries that were poor in 1945 have graduated to prosperity and the freedoms of a mature liberal democracy, but most did not, and we in India fall in that group.

Our founding fathers had the best of intentions, and initiated numerous policy programmes. However, good intentions do not suffice, and we have poor outcomes in a large number of areas, such as the criminal justice system, the judiciary, the tax system, and financial regulation. Social change has been quite limited; we continue to be hobbled by superstition and prejudice. As an example, women's participation in the labour force in India is much like it is in Pakistan.

In 1991, we thought we were at the dawn of a new age of freedom. The following years have been disappointing. The Indian state is too often characterized by intrusion into freedoms, with a proclivity for coercion, powers to raid and investigate and harsh punishments. A great deal of central planning at the Planning Commission and departments of government has subsided, but the controls have found their way into the behaviour of the newly created independent regulators. The regulators look much like the erstwhile departments of government, with a philosophy of control backed by arbitrary power. Private 'under implementation' investment projects in 2019 are 20 per cent smaller than the level seen in